

INDIAN SPECIALTY CHEMICALS INDUSTRY

Sector Overview and Outlook — FY2024 to FY2029

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Market Size and Growth

The Indian specialty chemicals market was estimated at approximately **■3,85,000** million in Fiscal 2026, having grown from **■2,10,000** million in Fiscal 2021, representing a CAGR of approximately 12.9% over the period. The market is projected to grow at a CAGR of 11.5% to 13.0% between Fiscal 2026 and Fiscal 2031, reaching approximately **■6,90,000** million to **■7,10,000** million by Fiscal 2031, driven by import substitution, China-plus-one sourcing strategies among global manufacturers, and rising domestic demand from the paints, coatings, agrochemicals and personal care end-user industries.

Key Demand Drivers

- Increasing preference among global buyers for diversified, non-China supply chains for performance and specialty chemical intermediates.
- Growth in downstream sectors — paints and coatings, agrochemicals, textiles, personal care — that consume specialty chemical additives and formulations.
- Government incentives under the Production Linked Incentive (PLI) scheme for chemical and petrochemical manufacturing.

Competitive Landscape

The industry remains fragmented, with the top 10 organized players accounting for approximately 34% of total market value; the balance is served by a large base of regional and mid-sized manufacturers, indicating continued headroom for smaller and SME-scale specialty chemical producers to expand share through product diversification and export-oriented capacity addition.

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